

TeleComX Telecom — Customer Retention Strategy

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Project: Customer Churn Analysis & Prediction

1. Executive Context

TeleComX is experiencing a customer churn rate of 26.54% — meaning more than 1 in 4 customers leave every month. Analysis of 7,043 customer records identified the key drivers of churn and the specific customer segments most at risk. This document translates those findings into five actionable retention strategies.

2. Key Findings Summary

<i>Finding</i>	<i>Data Point</i>
Overall churn rate	26.54%
Highest risk contract	Month-to-month (42.71% churn)
Highest risk payment method	Electronic check (45.29% churn)
Highest risk internet service	Fiber optic (41.89% churn)
Highest risk tenure group	0–12 months (47.44% churn)
Highest risk segment	MTM + Fiber optic + Electronic check (60.37% churn)
Churned customers avg monthly charge	\$74.44 vs \$61.27 for active customers

3. Retention Strategies

Strategy 1 — Contract Migration Programme

Finding: Month-to-month customers churn at 42.71% vs 2.83% for two-year contracts.

Recommendation: Launch a contract upgrade incentive programme targeting all month-to-month customers.

Actions:

- Offer 10–15% monthly discount for customers who switch to annual contracts
- Prioritize customers in their first 12 months — highest churn risk window
- Train customer service agents to offer contract upgrades during support calls
- **Expected Impact:** Converting 20% of month-to-month customers to annual contracts could reduce overall churn by approximately 8 percentage points.

Strategy 2 — Payment Method Migration

Finding: Electronic check users churn at 45.29% — nearly 3x the rate of automatic payment users.

Recommendation: Incentivize migration from manual to automatic payment methods.

Actions:

- Offer a \$5/month bill credit for switching to automatic bank transfer or credit card
- Include payment method upgrade in onboarding flow for new customers
- Send targeted email campaign to all electronic check users

Expected Impact: Reducing electronic check usage by 50% could prevent approximately 200–300 churns per month.

Strategy 3 — Fiber Optic Service Quality Review

Finding: Fiber optic customers churn at 41.89% despite paying the highest monthly charges (\$80+ average).

Recommendation: Investigate and address fiber optic service quality and perceived value.

Actions:

- Conduct customer satisfaction survey specifically for fiber optic users
- Review service outage and complaint data for fiber optic customers
- Consider a loyalty discount or free service upgrade for long-tenure fiber customers
- Ensure fiber customers have access to tech support and online security bundles

Expected Impact: Improving fiber optic retention by 10% would preserve over \$1M in annual revenue given the high monthly charges this segment pays.

Strategy 4 — New Customer Onboarding Programme

Finding: Customers in their first 12 months churn at 47.44% — the highest of any tenure group.

Recommendation: Launch a structured 90-day onboarding programme for all new customers.

Actions:

- Week 1: Welcome call + service setup confirmation
- Week 4: Check-in call to address any service issues early
- Month 2: Offer loyalty reward or service bundle upgrade
- Month 3: Contract upgrade offer with discount incentive
- Assign dedicated support contact for first 90 days

Expected Impact: Reducing first-year churn by 15% would retain approximately 300 additional customers annually.

Strategy 5 — Protective Services Bundling

Finding: Customers without tech support churn at ~40%. Customers with tech support churn at ~15%.

Recommendation: Bundle tech support and online security into standard packages for high-risk customers.

Actions:

- Include free 3-month tech support trial in all new customer packages
- Offer discounted security bundle to fiber optic customers specifically
- Retrain sales team to position protective services as retention tools

Expected Impact: Increasing tech support adoption by 30% across at-risk segments could reduce churn by 5–8 percentage points in those groups.

4. Priority Action Matrix

<i>Strategy</i>	<i>Ease of Implementation</i>	<i>Revenue Impact</i>	<i>Priority</i>
Contract Migration	Medium	Very High	● Immediate
Payment Migration	Easy	High	● Immediate
Fiber Quality Review	Hard	Very High	● Short-term
Onboarding Programme	Medium	High	● Immediate
Services Bundling	Easy	Medium	● Ongoing

5. Conclusion

The data clearly shows that TeleComX's churn problem is concentrated in a specific, identifiable customer profile: month-to-month contracts, fiber optic internet, electronic check payment, within the first 12 months of tenure. These customers are not inevitable losses — they are predictable ones. With targeted intervention across the five strategies above, TeleComX can realistically reduce churn from 26.54% to below 18% within 12 months.